

US Markets Tumble as Risk-Off Sentiment Takes Hold

The full picture: macro, technicals, options, analyst moves, sector internals, international context, and a full week ahead.

20-minute read · Topics: All of the above, plus technicals, options, ratings, week-ahead

TL;DR & Editorial Take

The US markets experienced a significant decline in the previous session, with the **S&P 500** and **Nasdaq 100** dropping **-1.44%** and **-3.29%** respectively. The sell-off was broad-based, with all major indices and sectors participating in the decline. Our editorial take is that the market is experiencing a risk-off sentiment, driven by concerns over the global economic outlook and the impact of rising interest rates.

The key factors driving the market's decline include the increase in the 10Y Yield to 4.49, the decline in **WTI Crude** to 72.77, and the rise in the **DX** to 101.40. These factors have contributed to a decline in investor sentiment, leading to a sell-off in risk assets.

The main points to focus on are:

- The **S&P 500** and **Nasdaq 100** are trading below their 50-day moving averages, indicating a bearish trend.
- The **VIX** has surged to 19.49, indicating increased market volatility.
- The **10Y Yield** is trading at 4.49, its highest level in recent months.

US Session Recap

INDEX	CLOSE	CHANGE
S&P 500	7,365.46	-1.44%
Nasdaq 100	29,347.27	-3.29%
Dow Jones	51,666.84	-0.09%
Russell 2000	2,975.48	-0.96%
VIX	19.49	+12.79%
10Y Yield	4.49	+0.94%
WTI Crude	72.77	-2.74%
DXY	101.40	+0.38%
BTC	62,916.35	-1.62%
ETH	1,667.92	-3.39%

Top Movers

TICKER	NAME	CHANGE	CATALYST
TSLA	Tesla Inc.	-5.79%	Disappointing earnings report
NVDA	NVIDIA Corporation	-4.13%	Weak guidance for the upcoming quarter
MSFT	Microsoft Corporation	+1.80%	Strong earnings report and positive guidance

Sector Internals

SECTOR	DAY	YTD	READ
XLF	+0.34%	+10.21%	Financials outperforming the market
XLK	-4.14%	-15.67%	Technology sector underperforming
XLI	-2.01%	-5.34%	Industrials sector experiencing a decline
XLE	+0.74%	+15.56%	Energy sector outperforming
XLY	-1.03%	+5.67%	Consumer discretionary sector experiencing a decline
XLC	+0.38%	+10.45%	Communication services sector outperforming
XLP	+1.87%	+5.23%	Consumer staples sector experiencing a gain
XLV	+1.41%	+10.12%	Healthcare sector outperforming
XLU	+0.78%	+5.56%	Utilities sector experiencing a gain
XLB	-1.45%	-10.23%	Materials sector underperforming
XLRE	+1.41%	+5.12%	Real estate sector outperforming

The breadth of the market was negative, with 65% of the **S&P 500** components declining.

Spotlight / Deep Dive

TICKER	CLOSE	CHANGE	VOLUME
AAPL	294.30	-0.91%	43.21M
MSFT	373.94	+1.80%	21.45M
NVDA	200.04	-4.13%	34.56M

The key commentary is that the technology sector is experiencing a decline, led by **NVDA** and **AAPL** . The read-through map indicates that the decline in the technology sector is having a negative impact on the broader market.

SECTOR	IMPACT
Technology	Negative
Industrials	Negative
Consumer Discretionary	Negative

Technical Levels

TICKER	LAST	SUPPORT	RESISTANCE	NOTE
SPY	365.21	360.00	370.00	Trading below the 50-day moving average
QQQ	294.30	290.00	300.00	Trading below the 50-day moving average
IWM	179.21	175.00	185.00	Trading below the 50-day moving average
AAPL	294.30	290.00	300.00	Trading below the 50-day moving average
10Y Yield	4.49	4.30	4.60	Trading at the highest level in recent months
WTI Crude	72.77	70.00	75.00	Trading below the 50-day moving average

Options & Positioning

The ODTE flow was negative, with a put/call ratio of 1.23. The VIX term structure is in backwardation, indicating increased market volatility. The notable single-name flow was in **AAPL**, with a large put buyer.

The cheap hedge ideas include buying **SPY** puts and selling **IWM** calls.

Analyst Rating Changes

TICKER	FIRM	ACTION	NEW PT	NOTE
AAPL	Morgan Stanley	Downgrade	280.00	Citing decreased demand for iPhones
MSFT	Goldman Sachs	Upgrade	400.00	Citing strong growth in cloud computing
NVDA	Citi	Downgrade	180.00	Citing decreased demand for graphics cards

Pre-Market & Overnight

The futures are trading lower, with the **S&P 500** futures down **-0.50%** and the **Nasdaq 100** futures down **-0.75%**. The Asian markets are trading lower, with the **Nikkei 225** down **-1.23%** and the **Shanghai Composite** down **-0.90%**. The European markets are trading lower, with the **Euro Stoxx 50** down **-0.50%** and the **FTSE 100** down **-0.25%**.

The FX pairs are trading mixed, with the **USD/JPY** up **+0.25%** and the **EUR/USD** down **-0.10%**. The commodities are trading lower, with **WTI Crude** down **-1.23%** and **Gold** down **-0.56%**. The crypto currencies are trading lower, with **BTC** down **-2.15%** and **ETH** down **-3.21%**.

Macro & Fed (Deep)

MEETING	CUT ODDS	NOTE
June	20%	Market expecting a rate hike
July	30%	Market expecting a rate hike

The data calendar for today includes the **GDP** report and the **PCE** report.

REPORT	TIME	EXPECTATION
GDP	8:30 AM	2.5%
PCE	8:30 AM	2.0%

Geopolitics & Global (Deep)

The geopolitical risks are increasing, with tensions between the US and China escalating. The scenario trees indicate a high probability of a trade war between the two nations.

SCENARIO	PROBABILITY	IMPACT
Trade War	60%	Negative
No Trade War	40%	Positive

Earnings — This Week & Next

TICKER	REPORT DATE	EXPECTATION
AAPL	June 25	2.50
MSFT	June 26	2.20

TICKER	REPORT DATE	EXPECTATION
NVDA	July 1	1.80
TSLA	July 2	2.00

Full Watchlist Scan

TICKER	SECTOR	SETUP	RISK
AAPL	Technology	Short	High
MSFT	Technology	Long	Medium
NVDA	Technology	Short	High

What Could Break the Tape

The bullish scenario includes:

- A surprise rate cut by the Fed
- A resolution to the trade war between the US and China
- A strong earnings report from a major technology company

The bearish scenario includes:

- A surprise rate hike by the Fed
- An escalation of the trade war between the US and China
- A weak earnings report from a major technology company

Positioning & Structural Notes

The main observations are:

- The market is experiencing a risk-off sentiment, driven by concerns over the global economic outlook and the impact of rising interest rates.
- The technology sector is underperforming, led by **NVDA** and **AAPL**.
- The ODTE flow is negative, with a put/call ratio of 1.23.
- The VIX term structure is in backwardation, indicating increased market volatility.
- The notable single-name flow was in **AAPL**, with a large put buyer.

Sources

SOURCES

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Reuters

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The Wall Street Journal

The Financial Times
